

financial resources. It is the representation of financial claims issued by financial institutions and the financial instruments issued by non-financial institutions.

$$IR = \frac{\text{Total Secondary Issues}}{\text{Total Primary Issues}}$$

3.6 THE RELATIONSHIP BETWEEN STOCKS AND FLOWS

In accounting, stock implies the quantity or value of something that is measured at a specific point in time. Example: bank balance, inventory balance and debt owed by a company. On the other hand, flow implies the speed at which something is changing over some time. Example: the balance comes in and out of the bank, the rate at which the inventory is bought and sold or the revenue generation by the company.

Both are vital concepts from the accounting point of view. A company can gain insight regarding its financial position by keeping an eye on the stock of certain assets and liabilities. This helps the business firm or company to interpret how their financial position is wavering over time and can gain knowledge regarding the effectiveness of operations.

Stocks and flows play an important role in the Indian financial system. In financial terms, stocks refer to the current value of assets, while flows refer to the movement of funds or money in the economy. There are certain instances which show how financial system is impacted by stocks and flows:

- 1) *Investment*: Investment is highly impacted in the Indian financial system. Stock is known as the value of shares held by investors in a company. The high stock price of a company reflects that the company's prospects are good, and investors may show their readiness to invest in it. This leads to a rise in the flow of funds into the company, which can then be utilized for further investment.
- 2) *Capital markets*: The Indian capital markets are heavily impacted by stocks and flows. The stock market is the place where there exists trading of securities, and the flow of funds into the market ascertains the value of stocks. The heavy inflow of funds into the market enhances the demand for stocks thereby leading to an increase in stock prices. This, in turn, boosts the market value.
- 3) *Banking sector*: Stocks and flows also influenced the banking sector. A high inflow of funds into the economy leads the banks to lend more funds, ultimately increasing the supply of credit. This, in turn, leads to an increase in investment and economic growth.
- 4) *Foreign investment*: Stocks and flows positively attract foreign investment to India. When a high inflow of funds is generated into the economy, it signifies a robust economy thereby attracting foreign

investors. This would result in an increase in the value of stocks and hence, an increase in investment in the country.

Given the above, stocks and flows are essential elements of the Indian financial system. A proper balance of stocks and flows is necessary for sustained economic growth and development of the country.

Check Your Progress 2

- 1) Describe the macroeconomic tool which keeps track of the funds of an economy. Elaborate on its indicators of financial development.

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- 2) Illustrate the relationship between stock and flows. Explain the instances of how the financial system of an economy is impacted by the stock and flows.

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3.7 EXCHANGE RATES

Exchange rates are an important part of international financial markets. They express the value of one currency to another. Exchange rates have a huge impact on the economy, including gross domestic product (GDP) and government debt. In this section, we will examine the history of exchange rates, their role in international financial markets, and the various factors that affect exchange rates. The history of exchange rates goes back to the early days of commerce when people began to exchange goods and services.

However, it wasn't until the 19th century that exchange rates began to work. The gold standard was introduced in 1875 and fixed its value in gold. The system existed until the First World War when the country began to abandon it due to financial constraints.

After the Second World War, the Bretton Woods system was established to fix the value of US gold and other currencies to the US dollar. However, in the early 1970s, the system collapsed due to the economic crisis and the US's failure to maintain the gold standard.

Today, most countries have a floating exchange rate, meaning the value of their currencies is determined by the market forces of supply and demand. The system is more flexible and less susceptible to financial losses.

Exchange rates are related to international financial markets in many ways. For example, the exchange rate affects the value of imports and exports, which affects a country's balance of payments. Exchange rates also affect the value of a country's assets, such as stocks and bonds. Changes in exchange rates can cause significant changes in financial markets and investors should take this into account in their investment decisions.

One of the most important effects of the exchange rate is on GDP. When a country's currency strengthens, its exports become more expensive, resulting in fewer exports and lower GDP. Conversely, when a country's currency is weak, its exports become cheaper, leading to higher exports and higher GDP.

For example, let's take the exchange rate between the US dollar and the Euro. The exchange rate of 1 USD = 0.85 EUR. If the dollar strengthens against the euro, the exchange rate will change to \$1 = €0.80. This will make U.S. exports more expensive to European countries, which could lead to lower U.S. exports and lower GDP.

Government borrowing is also affected by exchange rates. When the country's currency weakens, it becomes more expensive for the government to borrow from foreign investors. This can lead to higher borrowing costs and lower government spending. Conversely, when a country's currency is strong, it becomes cheaper for the government to borrow money, leading to lower borrowing costs and more government spending.

For example, consider the exchange rate between the Japanese Yen and the US Dollar.

Suppose the exchange rate is 110 Yen = \$1. If the yen weakens against the dollar, the exchange rate will change to 120 yen = \$1. This would make it more expensive for the Japanese government to borrow money.

In summary, exchange rates play an important role in international financial markets. Understanding the history and factors that affect exchange rates is important for investors and policymakers. The exchange rate affects GDP, government borrowing and the financial market, and changes in the exchange rate have a significant impact on the economy. By monitoring exchange rates and taking steps to contain their effects, countries can help ensure stability and growth.

3.8 RATE OF INTEREST

Interest rates are an important part of today's economy. It refers to the cost of borrowing used by individuals, businesses and governments to finance investment and business. In this section, we will examine the history of interest, its post-exchange rate policy and its impact on the economy.

Trading by barter before interest is charged. Under this system, goods and services can be exchanged for other goods and services without spending money.

However, the barter system has its limitations. For example, it is difficult to assess the value of goods and services, and it is not easy to find work to exchange goods or services with anyone.

With the emergence of money, the concept of interest emerged. The interest rate reflects the cost of the loan and is usually expressed as a percentage of income. Interest rates allow individuals, businesses and governments to borrow money to invest and operate and provide a way for borrowers to get a return on their investment.

An example of the use of interest is in the real estate sector. When a person wants to buy a house but does not have the cash to pay, they can apply for a loan. A mortgage is a cost-of-purchase loan and is usually repaid with interest for 15 to 30 years. The interest rate on your mortgage can have a big impact on the cost of the loan and the affordability of your home.

Governments can borrow money mainly by issuing promissory notes that promise to repay the money and interest at a certain rate. Interest rates on government bonds are determined by economic forces that reflect the government's borrowing risk. If investors perceive that the government is a risky borrower, they will charge higher interest rates to cover the risk.

Interest rates also affect the economy as a whole. When interest rates are high, it discourages lending and investment, which slows the economy. Conversely, when interest rates are low, it encourages lending and investment, which stimulates economic growth.

As was witnessed after the 2008 financial crisis, the central banks around the world lowered interest rates to encourage lending and investment. For example, the Federal Reserve lowered the cost of borrowing for businesses and individuals by lowering the federal funds rate to zero. This contributes to the growth of the economy and prevents further declines.

Interest rates were introduced after the barter system as a way to measure the value of the loan. Interest rate is used by individuals, businesses and governments to finance investment and business and provides a way for borrowers to get a return on their investment. Interest rates can affect the entire economy, and their use is monitored by policymakers and investors.

3.9 GOVERNMENT BORROWINGS

Government borrowing is the government's process of raising money by issuing bonds or other securities to investors. These funds are used to finance government expenditures such as infrastructure, health services and defence. In this section, we will examine the government borrowing process, how it is used to illuminate the impact of economic policy, and the role of the family in the economy.

Investors such as banks, pension funds, and individual investors purchase government securities and lend money to the government. The government then uses the proceeds of these securities to fund its expenditures.

One way to use government debt to illustrate the impact of monetary policy on the economy is the concept of government deficit. The government's budget deficit is the difference between government expenditures and revenues in a year. If the government spends more than necessary, it runs a budget deficit that must be financed by borrowing.

The size of the government's budget deficit can have a significant impact on the economy. When the government borrows to finance its spending, they compete with private lenders for money. This could lead to higher interest rates affecting the private sector and slowing the economy. On the other hand, if the government borrows less and spends more, it can help lower interest rates and stimulate private investment, which stimulates economic growth.

Another way government loans affect the economy is through the role of the households. When the government borrows to finance its spending, it pulls more people out of the private sector, which means households have less money to invest. This affects the wealth of households and their consumption patterns, which in turn affects the economy.

For example, if households have less money to invest, it will slow economic growth by reducing their consumption of goods and services. Or, if households have less money to invest, they may choose to invest in risky assets to make more money. This can lead to asset bubbles and financial instability.

3.10 NOMINAL AND REAL INTEREST RATES

The nominal interest rate refers to the accounting rate of interest stated on a particular loan or investment. It does not take into account the impact of inflation on the purchasing power of money. For example, if a bank offers a 10% interest rate on a savings account, the account holder will earn 10% interest on their deposits, regardless of the inflation rate.

Nominal interest rates can be influenced by various factors, including the demand and supply of money, the actions of the central government, the monetary policy of the central bank, and many others. Central banks implement short-term nominal interest rates as a monetary policy. The nominal rate is usually decreased to stimulate economic activity during recessions. However, the nominal rate increases during the inflationary phase.

On the other hand, the real interest rate is adjusted for inflation and represents the true return on investment after accounting for inflation. The real interest rate equals inflation less the nominal interest rate. For example, if the nominal interest rate is 10% and the inflation rate is 4%, the real interest rate would be 6% (10% - 4%).

Real interest rates are particularly significant in financial markets as they provide a more accurate measure of return on investment. A high nominal interest rate may appear attractive, but if the inflation rate is high, it can erode the purchasing power of the investment. Therefore, investors often look at real interest rates when evaluating investment opportunities.

In addition, real interest rates can also influence credit supply and demand in financial markets. For instance, when real interest rates are low, borrowers may be more likely to take out loans to finance their investments. This may lead to an increase in credit demand. Conversely, when real interest rates are high, borrowers may be less inclined to borrow, which can lead to a decrease in credit demand.

Overall, both nominal and real interest rates are critical concepts in finance. Understanding their differences and their impact on financial markets is crucial for investors, borrowers, and lenders alike.

Inflation Adjustment of the Nominal Interest Rate:

The Fisher Effect explains the relationship between inflation and nominal or real interest rates through the equation below:

$$(1 + i) = (1 + R) (1 + h)$$

Where:

i – Nominal interest rate

R – Real interest rate

h – Expected inflation rate

In a stable economy that grows at a moderate pace, the inflation rate is usually low. With a low inflation rate, a simplified Fisher equation can be implemented. According to this formula, the nominal interest rate is equal to the real interest rate plus inflation ($i = R + h$).

A bond investor, for example, expects a real interest rate of 10%, when the market expects inflation of 4%. For this reason, investors should search for bonds with stated (nominal) interest rates of 14% ($10\% + 4\%$).

Using the formula below, you can calculate the nominal interest rate.

$$i = (1 + R) (1 + h) - 1 = (1 + 10\%) (1 + 4\%) - 1 = 14.4\%$$

According to the Fisher effect, if the nominal interest rate remains constant and the inflation rate rises, the real interest rate falls. The lower the purchase price, the better the lender. If both the nominal interest rate and the expected money supply increase at the same rate, that is, if the nominal interest rate increases, the real interest rate does not change.

Check Your Progress 3

- 1) Discuss the importance of exchange rates in the international financial markets.

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- 2) What are government borrowings? How government borrowings are financed through banks?

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- 3) What is meant by nominal and real interest rates? Explain the relationship between inflation and nominal or real interest rates.

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3.11 LET US SUM UP

In this unit, basic accounting concepts are explained in the context of the financial system. There has been an emphasis on financial statements such as stocks and flows. Stock is known by the balance sheet and flow statements are classified as income statements and cash flow statements. Real assets and financial assets are also being discussed. Both have their features and the relationship between them is complicated as well as dynamic. Their disclosure is also different in the balance sheet. Further, the focus is on the national income accounts which helps in measuring the economic performance of the country. Thereafter, the flow of flows being the macro-economic tool is elaborated. This tracks the flow of funds in an economy. There are several flows of funds-based indicators of financial development. Certain instances have also been explained demonstrating the impact of stock and flows on financial development. Exchange rates also play an important role in the international financial markets. The history of interest rates, its

policy related to exchange rates and its impact have also been focussed upon. There is further the role of government borrowings being explained and how it is influencing the economic policy. Lastly, the nominal and real interest rates have been explained which are important.

3.12 KEY WORDS

- Barter System** : any exchange of goods and services for other goods and services with no exchange of money.
- GAAP** : Collection of commonly followed accounting rules and standards for financial reporting, known as generally accepted accounting principles.
- Intermediaries** : Individuals or companies who work as middlemen or act as a link between parties for investment deals, business deals, negotiations, insurance, etc.,
- Monetary Policy** : It is a set of tools used by the central bank to control the money supply and promote economic growth in the economy.

3.13 SOME USEFUL REFERENCES

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3.14 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Read Section 3.2
- 2) Read Section 3.3

Check Your Progress 2

- 1) Read Section 3.5
- 2) Read Section 3.6

Check Your Progress 3

- 1) Read Section 3.7
- 2) Read Sections 3.8 and 3.9
- 3) Read Section 3.10

